26STCV07514 26STCV07514

County: los-angeles

Division: Civil Law and Motion

Department: 836

Hearing date: 2026-07-16

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C836%2C07%2F16%2F2026

Source SHA-256: 942a422c9939b022214103db18ec4994ded01e7c010d6ec416e2b0e06381cf98

Case Number: 26STCV07514 Hearing Date: July 16, 2026 Dept: 836

ORDER TO SHOW CAUSE

RE: PRELIMINARY INJUNCTION

Date: 7/16/26

(1:30 PM)

Case: Mesriani Law Group v. Merus Inc. et al. (26STCV07514)

TENTATIVE RULING:

Plaintiff Mesriani Law Group's request for a preliminary injunction is DENIED.

On 3/9/26, plaintiff Mesriani Law Group initiated this action against defendants Merus Inc., Merus Case LLC (erroneously used as "MerusCase LLC"), Legaltech LLC, and Paradigm Software Technologies, Inc., alleging, inter alia, that plaintiff was denied API access to its client data stored in its MerusCase account and that plaintiff did not receive the XML file export of its client data for which it had paid.

On 6/29/26, the Court granted plaintiff's Ex Parte Application for Temporary Restraining Order and Order to Show re: Preliminary Injunction. The Court an issued an Order to Show Cause as to why defendants Merus Inc. and Merus Case LLC, or any of their agents, should not be enjoined from "deleting or destroying any data, files, records, or information belonging to or associated with plaintiff Mesriani Law Group, APLC stored on the MerusCase platform" during the pendency of this action. (6/29/26 Order.) The Court also issued a Temporary Restraining Order to enjoin those defendants from deleting or destroying such data pending the hearing on the Court's Order to Show Cause. (6/29/26 Order.) On 7/8/26, defendant Merus Case LLC filed an opposition. On 7/13/26, plaintiff filed a reply.

"The decision to grant a preliminary injunction rests in the sound discretion of the trial court." (Triple A Machine Shop, Inc. v. State of California (1989) 213 Cal.App.3d 131, 138.) "The trial court considers two interrelated factors when deciding whether to issue preliminary injunctions: the interim harm the applicant is likely to sustain if the injunction is denied as compared to the harm to the defendant if it issues, and the likelihood the applicant will prevail on the merits at trial." (Ibid.) "However, before the trial court can exercise its discretion the applicant must make a prima facie showing of entitlement to injunctive relief. The applicant must demonstrate a real threat of immediate and irreparable injury due to the inadequacy of legal remedies." (Ibid. [citation omitted].)

Based on the evidence before it, the Court finds that plaintiff fails to establish a prima facie showing that there is a real threat of immediate and irreparable injury if a preliminary injunction were not issued. Effectively, plaintiff asserts that it faces irreparable injury in the loss of its client data stored on the MerusCase platform because its subscription ends in July 2026. (Ex Parte App. at 3-4.) The evidence before this Court indicates otherwise.

As explained by defendant Merus Cases's President, Chief Revenue Officer, and Chief Financial Officer, plaintiff's account is fully operational, and plaintiff has full access to its account. (Li Decl. ¶ 4.) No data in plaintiff's MerusCase account has been deleted, destroyed, altered or restricted in any manner. (Li Decl. ¶ 5.) Plaintiff's subscription is set to expire on July 16, 2026, but, so long as plaintiff "maintains an active, paid subscription, Merus will continue storing and maintaining [plaintiff]'s data in the ordinary course." (Li Decl. ¶¶ 4, 20.)
Under the terms of service, plaintiff's subscription automatically renews unless either party provides timely written notice to terminate. (Li Decl. ¶ 8.) Thus, "[a]bsent written termination notice from [plaintiff], [plaintiff] remains positioned to continue as an active subscriber after July 16, 2026 (Li Decl. ¶ 8), which means Merus will continue to maintain plaintiff's data and provide plaintiff with access. These representations are

entirely consistent with the provisions of the Master Subscription Agreement between the parties, which is attached to plaintiff's Complaint. Indeed, that agreement makes clear that customer data will only be deleted after 30 days have elapsed from termination of such agreement. Further, the agreement obligates Merus to make plaintiff's data available to plaintiff within the 30 days following termination, if requested.

There has been no written notification of termination by either party concerning plaintiff's subscription. (See Li Decl. ¶ 6.) Thus, there is no real threat of immediate danger to plaintiff's data. It will continue to be maintained and stored unless and until one of the parties affirmatively and timely terminates the subscription agreement in writing, and neither has done so. No evidence before this Court suggests a contrary result. In fact, as represented by defendant Merus, plaintiff has expressed an interest in renewing its subscription on a monthly basis after July 16, 2026. (Li Decl. ¶ 7.)

Despite any showing of immediate injury, plaintiff contends in its Reply that preliminary injunctive relief is still necessary because Merus Case LLC seeks to increase the monthly subscription fee. (Reply at 6.) However, per the terms of service, such a fee increase is permitted in the event of an automatic renewal so long as "MerusCase has given [plaintiff] at least 30 days prior written notice of a fee increase." (Compl. Ex. 1 at ¶ 11.) Thus, the possibility of a fee increase was a contemplated circumstance by the parties when they entered into their relationship.

Simply put, on this record, the Court does not find any actual risk that plaintiff will lose its client data stored in the MerusCase platform. Accordingly, the Court DENIES plaintiff's request for a preliminary injunction. The temporary restraining order issued on 6/29/26 is hereby discharged.